

Current Macroeconomic and Financial Situation of Nepal

Based on Nine Months' Data (Ending Mid-April) of 2025/26

Major Highlights

- CPI-based inflation stood at 4.47 percent on a year-on-year basis during mid-March to mid-April 2026. The average CPI-based inflation for the nine months of the fiscal year 2025/26 remained at 2.39 percent.
- Gross foreign exchange reserves were recorded at Rs. 3494.73 billion, equivalent to approximately 23.55 billion in USD. This reserve is sufficient to cover prospective merchandise and services imports for 18.4 months.
- Current account and balance of payments remained at a surplus of Rs.618.68 billion and Rs.731.16 billion respectively.
- During the review period, remittances increased by 39.1 percent in NPR terms and 31.9 percent in USD terms. During mid-March to mid-April, remittance inflows totalled Rs. 209.75 billion.
- Exports increased by 18.5 percent while imports rose 13.8 percent.
- Nepal Government's total expenditure reached Rs. 1059.95 billion, with revenue mobilization amounting to Rs. 886.28 billion.
- Broad money (M2) increased by 8.1 percent. On y-o-y basis, M2 expanded by 14.5 percent.
- Deposits at the BFIs increased by 8.5 percent, and credit to the private sector rose by 5.7 percent. On a y-o-y basis, deposits increased by 15.5 percent, and credit to the private sector increased by 6.9 percent.
- The weighted average interbank rate among the BFIs at the end of Mid April is 2.75 percent, while the weighted average rate for 91-days Treasury bills stands at 2.61 percent.
- The weighted average deposit rate and lending rate of commercial banks is 3.40 percent and 6.77 percent respectively.



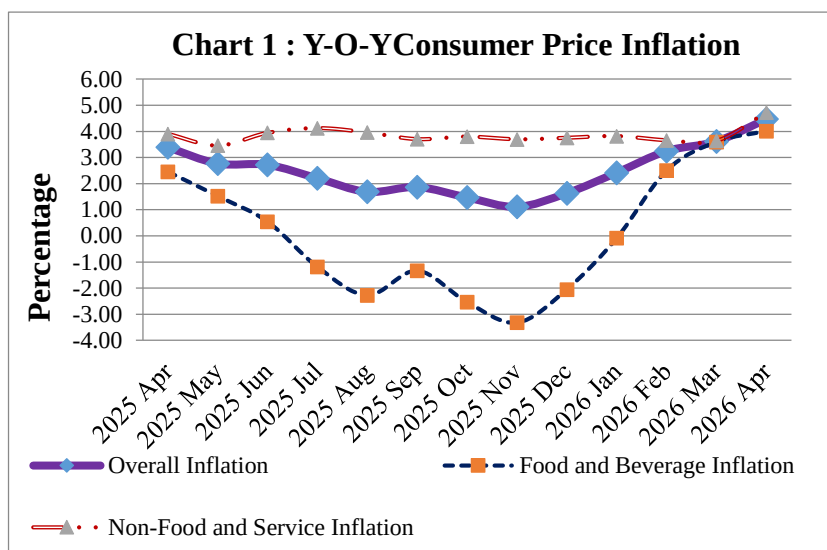
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Inflation

Consumer Price Inflation (CPI)

1. The y-o-y consumer price inflation stood at 4.47 percent in mid-April 2026 compared to 3.39 percent a year ago. Food and beverage inflation stood at 4.01 percent whereas non-food and service inflation stood at 4.72 percent in the review month. During the same period in the previous year, the price indices of these groups had increased 2.45 percent and 3.90 percent, respectively.



2. The average inflation stood at 2.39 percent in the ninth month of the current fiscal year compared to 4.57 percent a year ago.
3. Under the food and beverage category, y-o-y price index of ghee & oil sub-category increased 12.87 percent, fruit 11.67 percent, and vegetable 9.18 percent while y-o-y price index of pulses & legumes sub-category decreased 2.78 percent, cereal grains & their products 1.68 percent and spices 1.64 percent.
4. Under the non-food and services category, y-o-y price index of miscellaneous goods & services sub-category increased 19.94 percent, transportation 12.03 percent, education 7.46 percent, alcoholic drinks 4.77 percent and clothes and footwear 4.73 percent.
5. During the review month, y-o-y price index in rural areas increased 3.71 percent, while in urban areas, it rose 4.74 percent.
6. Based on provinces, in the review month, y-o-y consumer price inflation in Koshi Province is 4.98 percent, Madhesh Province 4.91 percent, Bagmati Province 4.20 percent, Gandaki Province 3.85 percent, Lumbini Province 5.15 percent, Karnali Province 3.82 percent, and Sudurpashchim Province 3.39 percent.
7. In the review month, y-o-y consumer price inflation in the Kathmandu Valley, Terai, Hill and Mountain region stood at 4.69 percent, 4.83 percent, 4.18 percent and 3.20 percent respectively.

Table 1: y-o-y Consumer Price Inflation (Percent)				
Mid-Month				
Particulars	Weight (%)	2024/25 Mar/Apr	2025/26 Feb/Mar	2025/26 Mar/Apr
Overall Inflation	100	3.39	3.62	4.47
Food and Beverages	35.49	2.45	3.60	4.01
Non-food and Service	64.51	3.90	3.63	4.72

Wholesale Price Inflation (WPI)

8. The y-o-y wholesale price inflation stood at 3.92 percent in mid-April 2026 compared to 4.20 percent a year ago.

9. The y-o-y wholesale price inflation of consumption goods decreased 5.60 percent while intermediate goods and capital goods stood at 9.95 percent and 4.14 percent respectively. The y-o-y wholesale price index of construction material increased 1.97 percent in the review month.

Salary and Wage Index (SWI)

10. The y-o-y salary and wage index increased 6.30 percent in third quarter of fiscal year 2025-26 compared to 2.60 percent a year ago.
11. Based on provinces, in the review quarter, the increase in y-o-y salary and wage index in Koshi Province is 8.45 percent, Madhesh Province 3.75 percent, Bagmati Province 5.03 percent, Gandaki Province 10.40 percent, Lumbini Province 8.54 percent, Karnali Province 1.15 percent, and Sudurpashchim Province 5.83 percent.

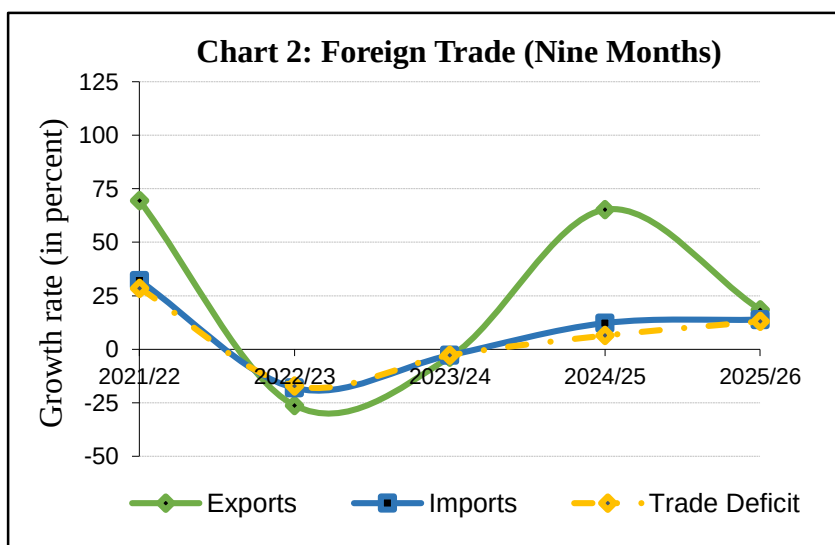
Consumer Price Inflation in Nepal and India

12. The y-o-y consumer price inflation in Nepal remained at 4.47 percent in mid-April 2026. Such inflation in India stood at 3.40 percent in March 2026.

External Sector

Merchandise Trade

13. During the nine months of 2025/26, merchandise exports increased 18.5 percent to Rs.222.94 billion compared to a growth of 65.2 percent in the same period of the previous year. Destination-wise, exports to India and other countries increased 22.6 percent and 5.1 percent respectively whereas exports to China decreased 46.8 percent. Exports of soyabean



oil, cardamom, palm oil, jute goods, and noodles among others increased whereas exports of zinc sheet, particle board, tea, woolen carpet and handicraft goods among others decreased in the review period.

14. During the nine months of 2025/26, merchandise imports increased 13.8 percent to Rs.1490.50 billion compared to a growth of 12.2 percent a year ago. Destination-wise, imports from India, China, and other countries increased 7.8 percent, 21.3 percent, and 24.2 percent respectively. Imports of chemical fertilizer, crude soyabean oil, silver, transport equipment, vehicle and spare parts and petroleum products among others increased whereas imports of edible oil, hot rolled sheet in coil, garlic, pulses and M.S. billet among others decreased in the review period.
15. Total trade deficit increased 13.0 percent to Rs.1267.56 billion during the nine months of 2025/26. Such a deficit had increased 6.4 percent in the corresponding period of the previous year. The export-import ratio increased to 15.0 percent in the review period from 14.4 percent in the corresponding period of the previous year.

16. During the nine months of 2025/26, merchandise imports from India against payment in convertible foreign currency amounted Rs.140.53 billion. Such amount was Rs.135.55 billion in the same period of the previous year.

Composition of Foreign Trade

17. As per the Broad Economic Categories (BEC), the final consumption goods, intermediate goods, and capital goods accounted for 69.4 percent, 29.8 percent, and 0.8 percent of the total exports respectively in the review period. In the same period of the previous year, the ratio of the final consumption, intermediate, and capital goods remained 65.3 percent, 33.5 percent, and 1.2 percent of total exports respectively.
18. On the imports side, the share of final consumption, intermediate, and capital goods remained 37.5 percent, 53.3 percent, and 9.2 percent in the review period. Such ratios were 39.4 percent, 51.7 percent, and 8.9 percent respectively in the same period of the previous year.

Export-Import Price Index

19. The y-o-y unit value export price index, based on customs data, increased 3.1 percent whereas the import price index increased 13.6 percent in the ninth month of 2025/26. The terms of trade (ToT) index decreased 9.2 percent during the same period.

Services

20. Net services income remained at a deficit of Rs.67.54 billion during the review period. Such income had a deficit of Rs.67.45 billion in the same period of the previous year.

Table 2: Some indicators related to BoP (Nine months)				
Particulars	Values (in Billion)		Percentage Change	
	2024/2025 ^R	2025/26 ^P	2024/2025 ^R	2025/2026 ^P
Travel income	66.66	64.10	9.7	-3.8
Travel payment	169.84	165.36	18.6	-2.6
O/W Education	103.79	112.84	8.3	8.7
Remittance inflow	1192.54	1659.41	10.2	39.1
<i>R=Revised P=Provisional</i>				

21. Under the service account, travel income decreased 3.8 percent to Rs.64.10 billion in the review period. Such income was Rs.66.66 billion in the same period of the previous year.
22. Under the service account, travel payment decreased 2.6 percent to Rs.165.36 billion, including Rs.112.84 billion for education. In the same period of the previous year, travel payment was Rs. 169.84 billion, including Rs. 103.79 billion for education.

Remittances

23. Remittance inflows increased 39.1 percent to Rs.1659.41 billion in the nine months of 2025/26 compared to an increase of 10.2 percent in the same period of the previous year. During mid-March to mid-April (Chaitra month), remittance inflows stood at Rs. 209.75 billion. In the same period of the previous year, such inflows were Rs. 139.54 billion.
24. In the US Dollar terms, remittance inflows increased 31.9 percent to 11.55 billion in the review period. Such inflow had increased 7.5 percent in the same period of the previous year.

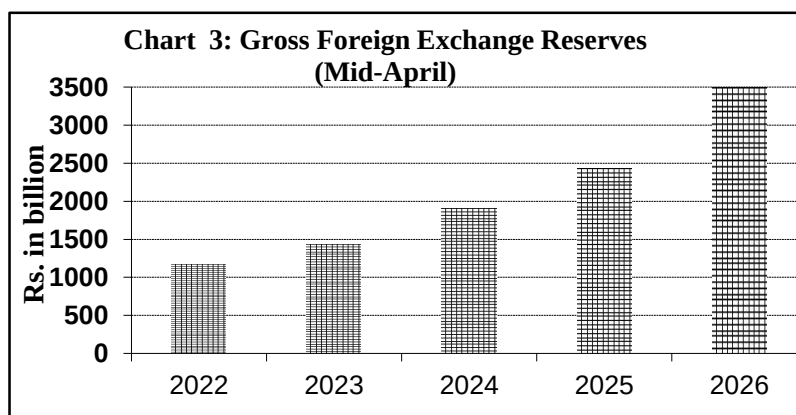
25. Net secondary income (net transfer) reached Rs.1820.42 billion in the review period. Such income was Rs.1303.12 billion in the same period of the previous year.
26. The number of Nepali workers, both institutional and individual, taking first-time approval for foreign employment stands at 294,186 and taking approval for renewed entry stands at 293,259 in the review period. In the same period of the previous year, such numbers were 358,222 and 249,652 respectively.

Current Account and Balance of Payments

27. The current account remained at a surplus of Rs. 618.68 billion in the review period. Such surplus was Rs.222.67 billion in the same period of the previous year. In US Dollar terms, the current account registered a surplus of 4.32 billion in the review period, compared to a surplus of 1.64 billion in the same period of the previous year.
28. In the review period, net capital transfer amounted to Rs.14.50 billion. In the same period of the previous year, such a transfer amounted to Rs. 7.71 billion. Similarly, during the review period, Rs. 14.55 billion in foreign direct investment (equity only) was received. In the same period of the previous year, foreign direct investment inflows (equity only) amounted to Rs. 8.94 billion.
29. Balance of Payments (BOP) remained at a surplus of Rs.731.16 billion in the review period. Such surplus was Rs.346.23 billion in the previous year. In US Dollar terms, the BOP remained in a surplus of Rs. 5.10 billion in the review period, compared to a surplus of Rs. 2.55 billion in the same period of the previous year.

Foreign Exchange Reserves

30. Gross foreign exchange reserves increased 30.5 percent to Rs.3494.73 billion in mid-April 2026 from Rs.2677.68 billion in mid-July 2025. In US dollar terms, the gross foreign exchange reserves increased 20.8 percent to 23.55 billion in mid-April 2026 from 19.50 billion in mid-July 2025.



31. Of the total foreign exchange reserves, the reserves held by NRB increased 27.7 percent to Rs.3082.41 billion in mid-April 2026 from Rs. 2414.64 billion in mid-July 2025. Reserves held by banks and financial institutions (except NRB) increased 56.8 percent to Rs.412.32 billion in mid-April 2026 from Rs.263.04 billion in mid-July 2025. The share of Indian currency in total reserves stood at 20.4 percent in mid-April 2026.

Foreign Exchange Adequacy Indicators

32. Based on the imports of the nine months of 2025/26, the foreign exchange reserves of the banking sector is sufficient to cover the prospective merchandise imports of 21.8 months, and merchandise and services imports of 18.4 months. The ratio of reserves-to-GDP, reserves-to-imports and reserves-to-M2 stood at 57.2 percent, 153.1 percent, and 41.2 percent respectively in mid-April 2026. Such ratios were 43.8 percent, 128.1 percent, and 34.1 percent respectively in mid-July 2025.

Price of Oil and Gold

33. The price of oil (Crude Oil Brent) in the international market increased 84.5 percent to US dollar 123.28 per barrel in mid-April 2026 from US dollar 66.83 per barrel a year ago. The price of gold increased 46.2 percent to US dollar 4722.65 per ounce in mid-April 2026 from US dollar 3230.50 per ounce a year ago.

Exchange Rate

34. Nepalese currency vis-à-vis the US dollar depreciated 7.5 percent in mid-April 2026 from mid-July 2025. It had depreciated 2.9 percent in the same period of the previous year. The buying exchange rate per US dollar stood at Rs.148.07 in mid-April 2026, compared to Rs.137 in mid-July 2025.

Fiscal Situation

Nepal Government

Expenditure and Revenue

35. According to the Ministry of Finance, Financial Comptroller General Office (FCGO), the total expenditure of the Nepal Government stood at Rs. 1059.95 billion during the nine months of 2025/26. Recurrent expenditure, capital expenditure, and financial expenditure amounted to Rs. 747.52 billion, Rs. 96.20 billion, and Rs. 216.23 billion, respectively, during the review period.

Table 3: Government Expenditure and Revenue (Nine Months)					
Particulars	Amount (Rs. in Billion)			Percentage Change	
	2023/24	2024/25	2025/26	2024/25	2025/26
Total Expenditure	909.39	998.52	1059.95	9.8	6.2
<i>Recurrent Expenditure</i>	644.03	678.09	747.52	5.3	10.2
<i>Capital Expenditure</i>	97.38	102.90	96.20	5.7	-6.5
<i>Financial Management</i>	167.99	217.53	216.23	29.5	-0.6
Total Revenue	748.04	831.40	886.28	11.1	6.6
<i>Tax Revenue</i>	671.12	744.15	798.77	10.9	7.3
<i>Non-Tax Revenue</i>	76.93	87.25	87.51	13.4	0.3

Source: Financial Comptroller General Office

36. In the review period, total revenue mobilization of the Nepal Government (including the amount to be transferred to provincial and local governments) stood at Rs. 886.28 billion. The tax revenue amounted to Rs. 798.77 billion and non-tax revenue to Rs. 87.51 billion in the review period (Table 3).

Cash Balance of Government

37. Cash Balance at various accounts of the GoN maintained with NRB remained Rs. 429.17 billion (including Provincial Governments and Local Government Account) in mid-April 2026. Such a balance was Rs. 137.78 billion in mid-July 2025.

Provincial Government

Expenditure and Revenue

38. In the review period, total expenditure of provincial governments stood at Rs. 74.97 billion, and resource mobilization stood at Rs. 149.15 billion, respectively. The total resource mobilization of provincial governments includes grants and revenue transferred from the Government of Nepal,